

When 38-year-old due diligence expert Praful Sharma set out to buy a new car for his two-member family last year, a hatchback would probably have met his needs perfectly. However, two years of the Covid pandemic had left an indelible mark on his psyche. Confronted with the loss of loved ones, some younger than himself, Sharma, like many others, found himself assailed by a strange new feeling: YOLO, short for You Only Live Once. That sentiment saw him go against the middle-class grain of saving for a better tomorrow—and choosing instead to spend for a better present. Sharma bought the automatic variant of Honda's newly launched Elevate, at a price some Rs 6 lakh higher than what he would have paid for a hatchback.

Feeding this YOLO urge is the 'premiumisation' trend—something the Indian economy has been witness to for some time now, though it has accelerated in the recent past. There has never been any surprise about the affluent buying luxury goods; what has changed is how India's middle class is increasingly giving in to its growing aspirations and living in the moment. This has led to the sharpest rise in the segment classified as 'masstige', a portmanteau of the words 'mass' and 'prestige', products that are premium yet attainable, with price points between the mid-market and super-premium. So, whether it's a house or a car, a refrigerator or a television, a vacation or eating out, the Indian consumer is exhibiting a desire for more than the run-of-the-mill.

Savings in the Covid years, rising stock prices, the bounceback of certain sectors in the organised segment and India crossing the four-trillion-dollar economy mark despite the slowdown in western markets—all these have together lent a certain elan to the India story. Even if not everything touches everyone directly, Indians feel more fi-



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"THE SENSE OF SECURITY YOUNGSTERS HAVE TODAY THAT WAS NOT AVAILABLE TO MOST INDIVIDUALS IN THE PAST HAS MADE THEM DISCRETIONARY SPENDERS"